Deutsche Telekom (DTE) – LONG

TARGET PRICE: €50.11 (38.49% UPSIDE)

Cambridge Student Investment Fund

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INDUSTRY OVERVIEW

Commodity Product, Oligopolistic Industry, CapEx as barrier to entry, Consistent Growth Trajectory

● Mode of Competition

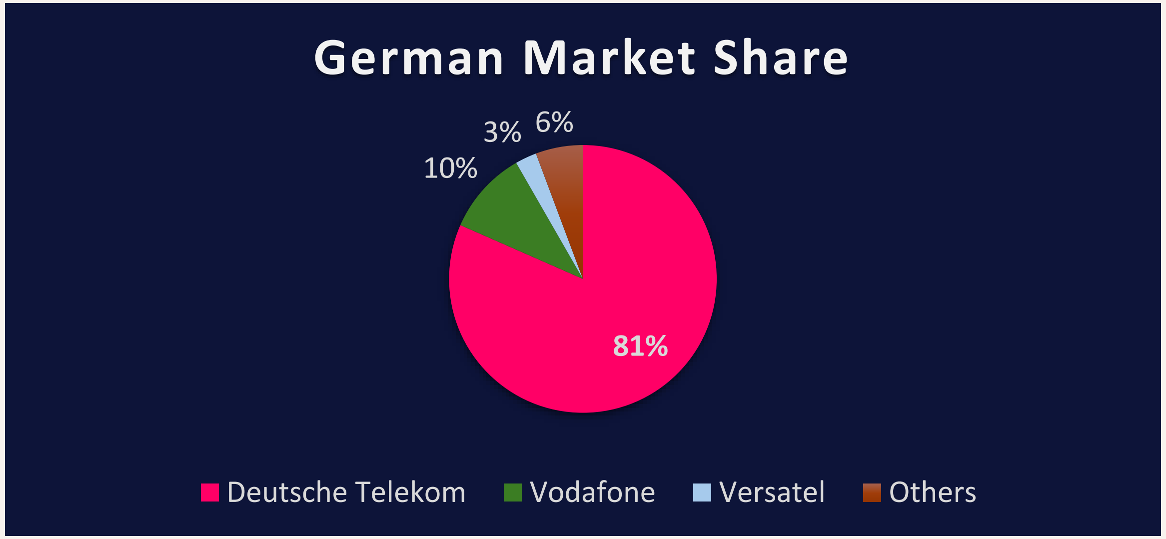
- Commoditized product – in theory – mostly price
- However, prices are generally similar, therefore:
    1. Brand Rating/Trust
    2. Network Speed (mbps) – 4g/5g
    3. Network Coverage

● Industry Outlook

- Projected European Market Growth ≈ 1.7% partly because of high levels of regulation
- Projected US market growth ≈ 3.7%
- Impacts of AI are positive – reduces costs and increases demand.
- Growth is non-cyclical i.e. “more for more”

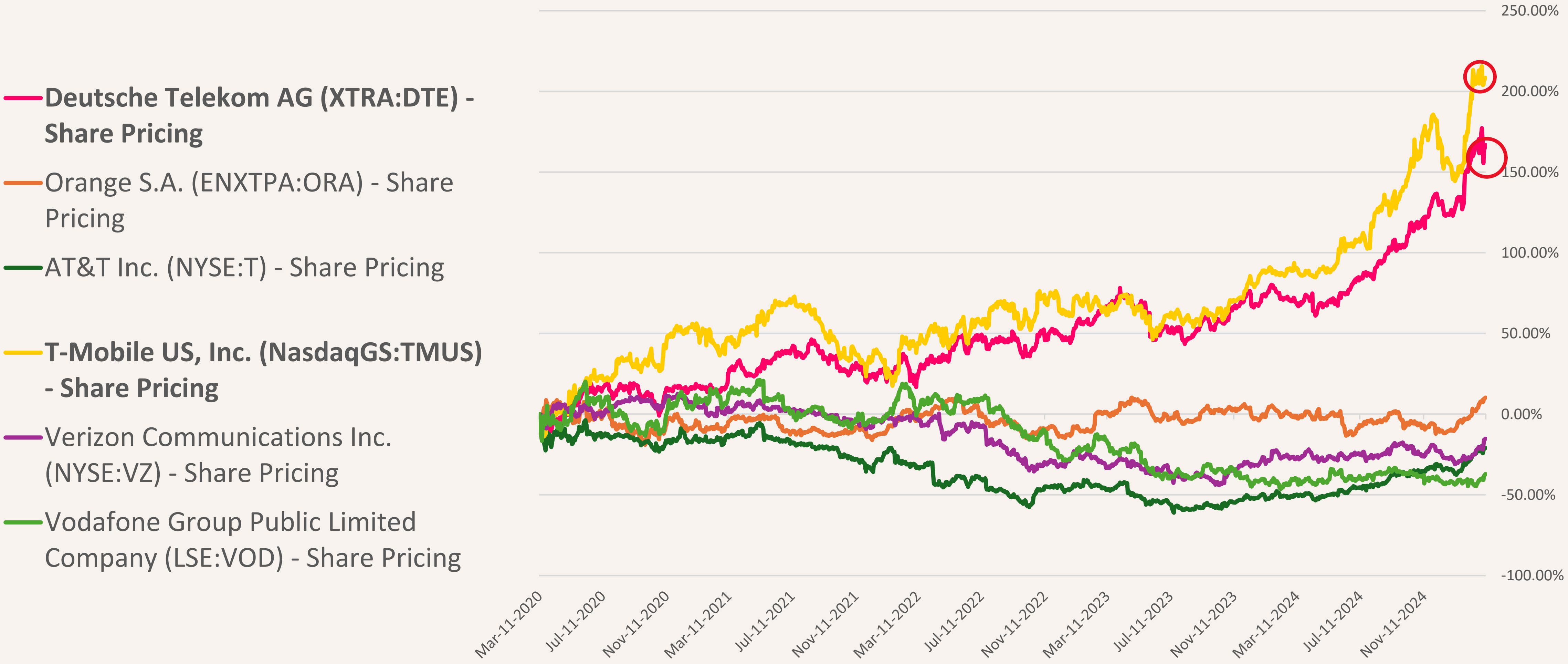
● Competitive Landscape

- Main competitors in Germany: Vodafone, Telefónica, RTL
- Main competitors in USA: Verizon, AT&T, Comcast
- German market – full dominance, high margin.
- US market - the largest in the world
    - US market size ≈ $560 bn vs China ≈ $430 bn



STOCK PRICE PERFORMANCE – 10/03/25

DTE and TMUS are the only value-creating large-cap telecom companies in the past 5 years



COMPANY OVERVIEW

DTE unique business model explains its stock performance

Cap Table	
Share Price	€33.81
(x) FDSO	4,891.4
Market Cap	**€165,379**
(+) Debt	152,439
(-) Cash	8,478
EV	**€344,684**
Total Shares Public	3,375.1
%float	*67.7*

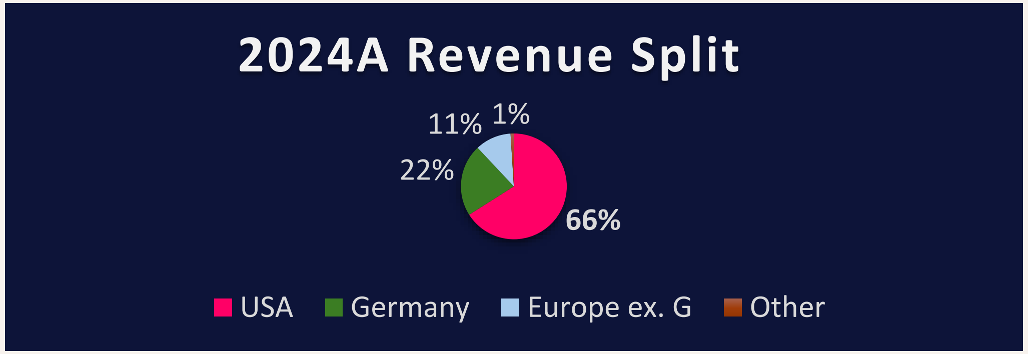
Summary of Key States & KPIs			
Years	2022A	2023A	2024A
Revenue	**117,074**	**114,733**	**118,432**
%y/y	*6.0%*	*(2.0%)*	*3.2%*
Gross Profit	**45,951**	**49,769**	**52,952**
%margin	*39.2%*	*43.4%*	*44.7%*
%y/y	*8%*	*6%*	*3%*
Adj. EBIT	**14,546**	**21,994**	**24,399**
%margin	*12.4%*	*19.2%*	*20.6%*
%y/y	*51%*	*11%*	*12%*
Unl. FCF	**13,617**	**19,614**	**19,991**
%y/y	*223%*	*44%*	*3%*

Business Model (GER Cash Cow, US Star)

- Previously a state-owned monopoly (not inherited the debts!)
- The company offers a comprehensive portfolio of **fixed-network** and **mobile** communications, **broadband** solutions, and IT services.
- **In Germany – biggest incumbent**, strong profits, the company strategy is not to grow in Germany but to extract by offering FTTH.
- The **core strategy** is to grow in the US**, keep raising its stake in TMUS** which pursues an aggressive inorganic growth strategy.

Geographic Breakdown

CEO: *"the **US and our European entity gives us a super advantage** to scale our businesses"*



DT has an unparalleled network quality

- **Germany:** Integrated provider of fixed-network and mobile services. **Winner of all major quality awards.**
- **USA:** Ookla – *"T-mobile wins awards for the **fastest**, most **consistent**, and **most available** 5G network, alongside **highest-ranking consumer sentiment**"*
- 5G network covers 98% of German population and 78% of Europe. **No.1 5G (coverage and speed) in all its markets.**

Thesis #1 – Superb Bottom-Line Performance

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Management's calculated bets have paid off - DTE overdelivered on all financial and operating targets.

Hit and/or exceeded all 2020 AGM targets

- Financial: TMUS stake >50%, divestments, deleveraging to <2.75x, 50% EPS dividend. Operating: FTTH rollout in Germany, top transatlantic market share. **All targets exceeded**.
- Recall this was period of higher energy costs. DTE started expensive 'insourcing' for resilience, and COVID deployment disruption. **Yet, all segments outperformed EBITDA targets.**
- **Most telcos failed to hit financial targets and created no value.**

The Promise: Superb Bottom-Line Performance

- DT has done the hard yards of investment, now expect expanding margins as capital intensity eases, especially in U.S.
- **FCF, 30% CAGR from 2020 to 2024**, now exceeding €18 billion annually. **EPS grew at 10% CAGR in recent years**.
- <u>There are only 10 European large caps that offer DD EPS growth. **They trade at 23x P/E; DTE trades at 15x P/E.**</u>

T-Mobile is an expert at inorganic growth

- Sprint merger huge success to penetrate FWA market.
- Sprint was the 4th largest telecom in the US; that acquisition has fueled T-Mobile's EBITDA performance for the past 5 years.
- **This was not a one off - TMUS has completed 12 fibreco M&A deals since 2023**– these are complex and resource intensive**.**
- They **set the grounds for** a Sprint-style **acquisition of a major player,** this time **in the fibre market.** <u>**Market** misunderstands; **has not priced in this 'larger plan'.**</u>
- Pending acquisitions (all US fibre): USM, Lumos and Metronet. Zero upside is priced in the company's internal estimates.
- **JPM estimates that by 2030E they alone could raise TMUS revenues 9%, EBITDA 7%, FCF 10%.**

Thesis #2 – Financials & Portfolio Mix = Defensive Play

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Strong financials, revenue diversification and prior investment have given DTE a competitive edge

Significant exposure to the US market

- 51.54% majority stake in T-Mobile US, the #1, fastest growing US telecommunications company
- **T-Mobile trades at 27x P/E** but **DT trades at 15x P/E. Yet, 75% of DT earnings are earnings from T-Mobile.**
- 2020 T-Mobile and Sprint merger increased Deutsche Telekom's revenue from the US segment.

Dominant position in domestic market

- Largest telecommunications service provider in Germany. Strong domestic position: 40% mobile subscriber share and 31% broadband share
- Strong financials enable investment into FTTH lines which will increase broadband revenue and customer base.
- **Notably other German operators did not invest in the face of uncertainty and financial issues, so DTE gained market share.**

Stronger financials compared to competitors

- High EBITDA margin (34.3%) (compared to Vodafone – 24.4%, Telefónica - 23.6%, Orange - 32.2%) signals strong operations.
- Deutsche Telekom has grown revenues at **a 6% CAGR since 2015** and a **3.5% CAGR since 2020**, **outperforming all its peers.**
- Cash pile is €1.45 billion, **cost of debt (~5%) is amazing** too.

Uniquely Diversified Revenues

- Geographical diversification
- EBITDA split: Germany - 34%, US - 52%, Europe - 14%
- DTE has **unique optionality**, it can pursue different growth modes in different markets. **It is the ultimate defensive stock**.
- Deserves to command a premium for this optionality.

Thesis #3 – Industry head/tailwinds = Consolidation

Macro effects enable large operators [Deutsche Telekom] to deepen competitive positions.

European Commission Policy Shifts

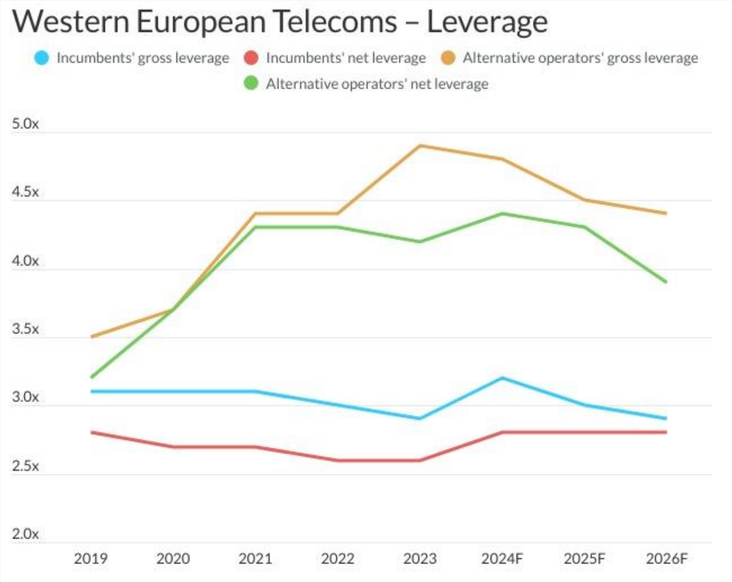
- The European Commission plans to revise EU competition policy to facilitate mergers and support the green transition
- EU funds for digital transformation, including high-speed internet infrastructure.
- **Telecoms 4 -> 3 operator model was specifically outlined in the Draghi report.**

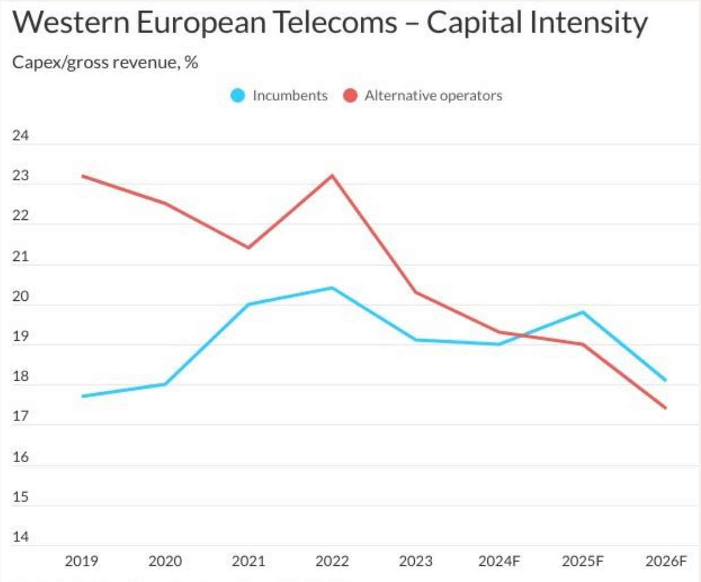
Post-Pandemic Travel Boom

- Global data roaming market has a projected CAGR of 8.17% (2025 - 2034)
- **DT service revenue growth (4.8% YOY in 2023) is largely driven by increases in roaming**
- Roaming only provided by largest providers.

Interest Rates elevated for longer

- Long-term debt structure allows DT to weather interest costs better than alts.
- Competitors with higher debt burdens will face steeper costs, giving DT competitive advantage**. Highly leveraged alternative net and satellite providers squeezed out.**
- Even among incumbents DT has especially healthy leverage and capex spend.





Valuation

Undervalued relative to its child company T-mobile, relative to other growth stocks, and intrinsically.

DCF

DCF - Base	
Discount Rate	13%
Exit Multiple (EV/EBIT)	10
Present Value	335,773
Net Debt	90,633
Equity Value	245,140
Number of Shares Outstanding	4,892
Implied Share Price	50
Change from Today	38.49%

	Bullish	Base	Bearish
Today's Price		36.18	
Implied Share Price	53.11	50.11	47.60
% Change	46.80%	38.49%	31.57%

Public Comps

Company Name	EV/Revenue	EV/EBITDA	EV/EBIT	P/EPS	Forward
Vodafone Group Public	1.8	5.7	17.2	10.2	9.42
Orange S.A.	1.6	4.7	11.0	16.0	10.67
BT Group plc	1.8	5.2	11.7	20.6	8.77
Telefónica, S.A.	1.6	5.5	14.6	NM	13.00
Verizon	2.7	6.7	11.8	11.1	9.85
Telecom Italia S.p.A.	1.3	3.9	12.1	-	NM
Cellnex Telecom, S.A.	10.7	14.2	75.3	NM	NM
Koninklijke KPN N.V.	3.8	8.8	15.1	18.8	15.84
Deutsche Telekom AG	**2.9**	**7.2**	**12.9**	**15.2**	**16.26**
High	10.7	14.2	75.3	20.6	15.84
Low	1.1	3.9	11.0	10.2	8.73
Mean	**2.8**	**6.6**	**19.8**	**15.4**	**11.37**
Median	1.7	5.6	14.5	15.7	10.26

Catalyst Path

Q2 2025 — Q3-4 2025 — FY 2026 — FY 2027

Q2 2025

- Share buyback execution (boosting EPS by ~1.5%)
- T-Mobile US Acquisition of US Cellular
  - Closes $4B acquisition of US cellular's wireless operations (4M customers + spectrum asset)
- AI Phone Announcement at MWC 2025

Q3-4 2025

- 5G Coverage Milestone (99% in Germany covered)
- T-Mobile Satellite Service Launch
- Regulatory Tailwinds
  - EU Policy Reforms
  - Roaming Revenue

FY 2026

- AI Cost Savings Ramp-up
  - Achieves $700M+ in efficiency gain
  - Automation across customer service, HR, and cybersecurity

FY 2027

- EPS Target Achievement
- Fiber Expansion Acceleration
  - 10M+ German Homes connected via FTTH by 2030 (2-3x higher margins)

Risks and Mitigants

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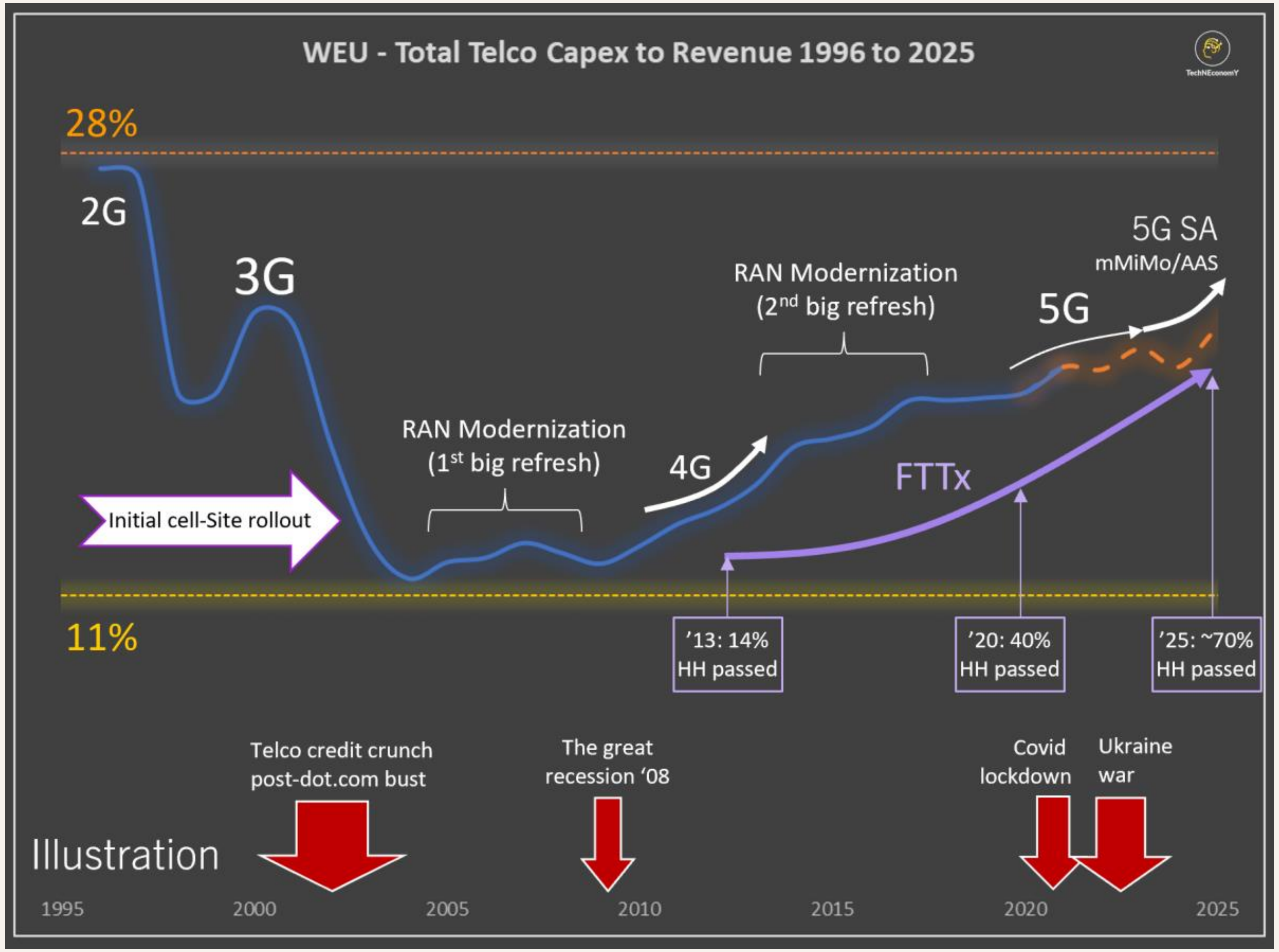
Risks	Mitigants
Intense **competition** from Vodafone, Telefónica, regional providers → market share, pricing impacts *E.g. 2021:* DT mobile subscription share in Germany ↓ due to Vodafone, MVNO price cuts	**Strategic M&A** to strengthen position *E.g. 2020:* Acquired T-Mobile US → expanded global reach, gained North America edge
Heavy 5G investment (€30B by 2025) → financial strain, risk of delays/underperformance *Competition:* Huawei, Ericsson → potential market share loss to innovative Chinese competitors.	**Continuous R&D,** tech **partnerships** for 5G optimization *E.g. Ericsson collab:* Industry-leading 5G performance in key EU cities
Currency fluctuations, economic downturns → impact multinational ops *E.g. Q2 2023:* 3% profit drop in U.S. due to EUR/USD volatility	**Hedging** strategies, **revenue diversification** to offset risk *E.g. 2023*: New hedge contracts mitigated USD fluctuations

Appendix A

Capex cycle and Secular Demand in the Telco Industry



Appendix B

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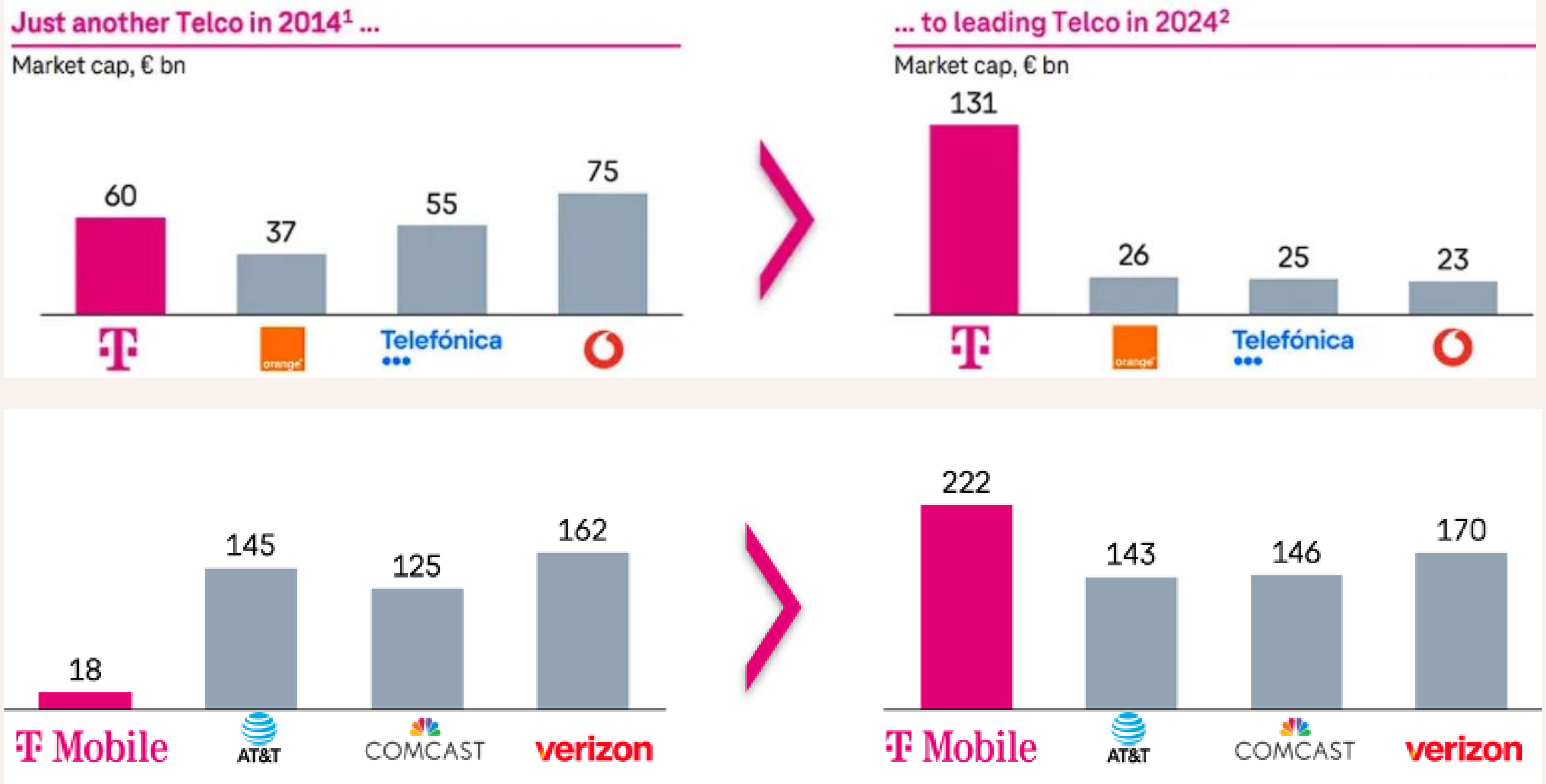
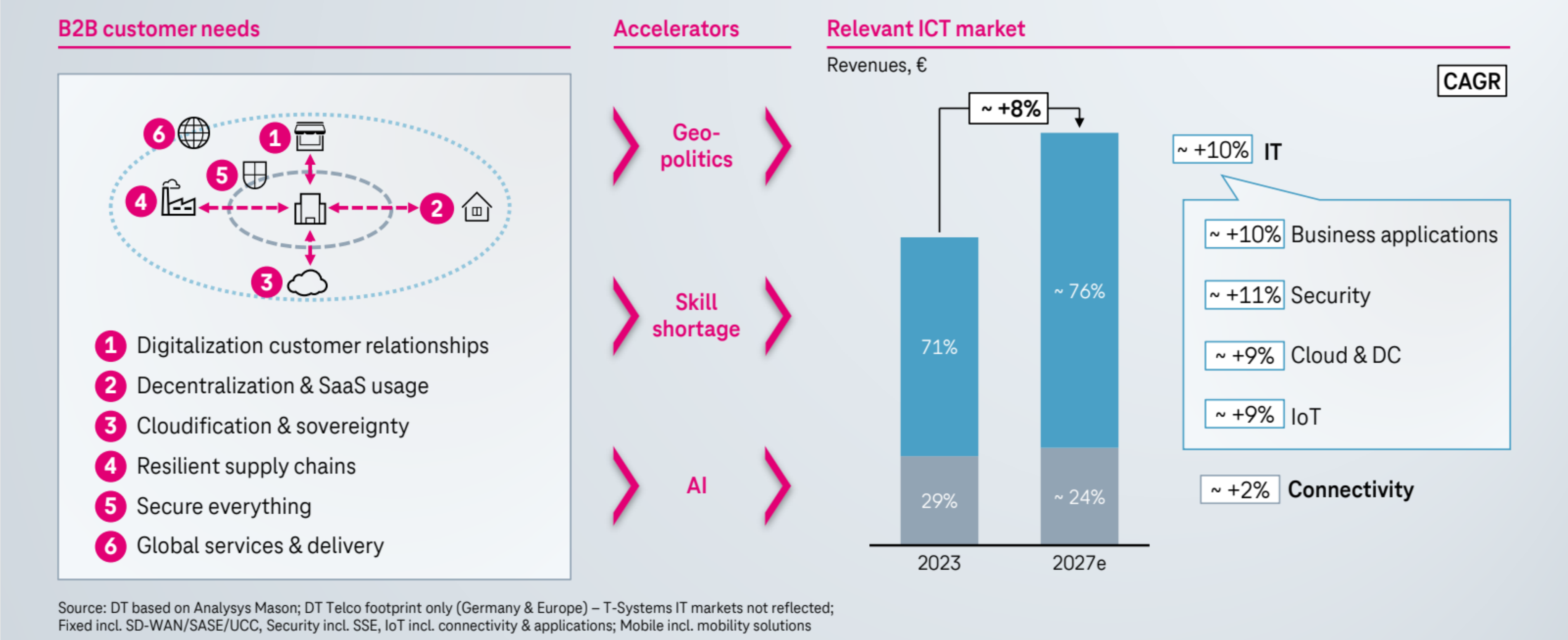
DTE and TMUS have created significant shareholder value



Appendix C

B2B customers set to be growth engine for industry



Appendix D

DTE has over delivered in almost all of its financial targets

CMD 2021 ambition: almost all commitments fulfilled

KPI	Time frame	Ambition as presented (adjusted)	Achievement 2024e[4]	
Revenues (Group)	2020–2024e	CAGR +1–2%	CAGR ~ 2.1%	✓
Total service revenues (Group)	2020–2024e	CAGR +3–4%	CAGR ~ 3.6%	✓
Adj. EBITDA AL (Group)	2020–2024e	CAGR +3–5%	CAGR ~ 3.3%	✓
Adj. Core EBITDA AL (Group)	2020–2024e	CAGR +5–6%	CAGR ~ 6.9%	✓
Adj. EBITDA AL (DT ex US)	2020–2024e	CAGR +2–3%	CAGR ~ 3.6%	✓
FCF AL (Group)	2024e	> €18 bn (~ €18.3 bn[1])	~ €19.0 bn	✓
FCF AL (DT ex US)	2024e[3]	€4 bn (~ €3.5 bn[1])	~ €3.5 bn	✓
Adj. EPS (Group)	2024e	> €1.75	> €1.75	✓
ROCE (Group)	2024e	> 6.5%	> 6.5%	✓
Cash Capex (DT ex US)	2024e	~ €8.2 bn (~ €7.6 bn[1])	~ €7.7 bn	✓
Adj. IDC AL (DT ex US)[2]	2020–2024e	Reduction by €1.2 bn	~ €0.0 bn	✗
Leverage (Group) incl. leases	2024e	≤ 2.75x	< 2.75x	✓

Appendix E

T-Mobile beats consensus estimates on growth (T-Mobile US hosted its CMD on 18th September last year).

T-Mobile US

Service revenues:

2023-27E CAGR +5% vs (pre-CMD Bloomberg consensus +4%)

Adj EBITDA:

2023-27E CAGR +7% vs (pre-CMD Bbg cons +6.5%)

Appendix F

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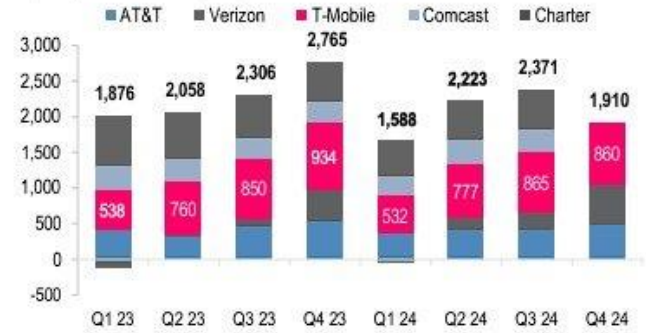
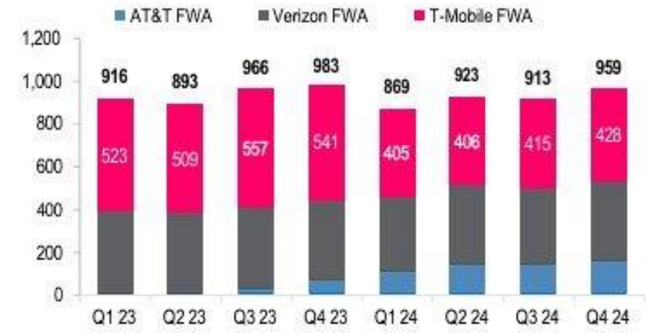
T-Mobile is the US' fastest-growing telecommunications company and far exceeds competitors.

Figure 1: T-Mobile US continues to take market share
Postpaid phone net adds ('000s)



Source: Company reports. Q4'24 ex Comcast and Charter

Figure 2: T-Mobile US's FWA momentum is even more impressive
FWA net adds ('000s)

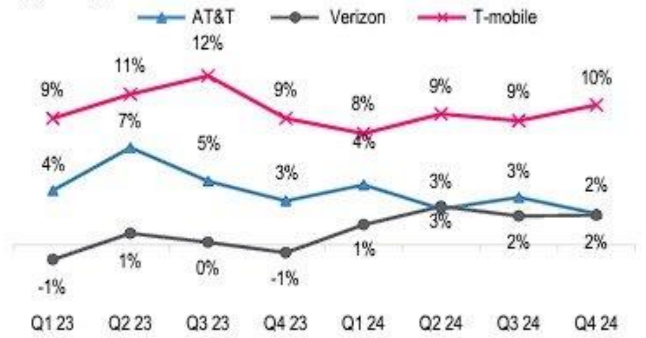


Source: Company reports.

Figure 3: T-Mobile US is delivering MSD service revenue growth
Y/y growth (%)

Source: Company reports.

Figure 4: T-Mobile US's EBITDA performance is even more impressive
Y/y growth (%)



Source: Company reports.

Appendix G

Deutsche Telekom is the most valuable brand in Europe

Appendix H

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DCF

		Actual						Forecast				
Income Projection		2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
Revenue	mUSD	93086.07	125624.46	125612.42	125092.44	126772.41	122576.87	128108.79	132495.99	134631.07	135999.60	136749.24
Growth (%)	%		34.96%	-0.01%	-0.41%	1.34%	-3.31%	4.51%	3.42%	1.61%	1.02%	0.55%
Other Revenue	mUSD	28.06	23.24	23.88	26.72	46.42	36.24	30.76	31.21	32.54	33.98	35.19
Growth (%)	%		-17.16%	2.76%	11.87%	73.76%	-21.95%	-15.11%	1.47%	4.26%	4.43%	3.56%
Total Revenue	mUSD	93114.13	125647.71	125636.30	125119.16	126818.83	122613.11	128139.55	132527.20	134663.61	136033.58	136784.43
Growth (%)	%		34.94%	-0.01%	-0.41%	1.36%	-3.32%	4.51%	3.42%	1.61%	1.02%	0.55%
Cost of materials	mUSD	59279.54	75833.64	76415.33	76010.47	71807.23	67791.70	87144.74	92778.40	94274.29	95233.70	95759.66
SG&A	mUSD	-	-	-	-	-	-	-	-	-	-	-
EBITDA	mUSD	27141.73	40287.46	39128.85	36583.31	42250.47	42058.18	40994.81	39748.80	40389.32	40799.88	41024.77
Margin (%)	%	29.16%	32.07%	31.15%	29.25%	33.33%	34.31%	32.00%	30.00%	30.00%	30.00%	30.00%
D&A	mUSD	19380.54	30072.17	30482.20	28298.60	26256.22	24749.97	20503.10	22626.53	21064.82	21845.68	21455.25
Other Operating Exp/Incom	mUSD	2597.91	3694.19	3342.43	5264.51	4444.57	4811.06	3075.46	3393.98	3159.72	3276.85	3218.29
EBIT	mUSD	11856.13	16047.71	15396.34	15545.58	24310.82	25260.38	29327.00	28817.91	26012.26	24916.68	22970.37
EBIT Margin	%	12.74%	12.77%	12.26%	12.43%	19.18%	20.61%	22.89%	21.75%	19.32%	18.32%	16.80%
Tax	mUSD	2236.56	2272.78	1969.75	2070.11	4058.80	5488.15	7331.75	7204.48	6503.07	6229.17	5742.59
Effective Tax Rate	%	27.45%	21.97%	22.71%	17.65%	30.68%	23.09%	25.00%	25.00%	25.00%	25.00%	25.00%
EBIAT(NOPAT)	mUSD	8601.86	12522.46	11900.48	12802.17	16851.82	19427.78	21995.25	21613.43	19509.20	18687.51	17227.78
(+) D&A	mUSD	19380.54	30072.17	30482.20	28298.60	26256.22	24749.97	20503.10	22626.53	21064.82	21845.68	21455.25
Capital Expenditure	mUSD	(11201.90)	(15826.30)	(15485.00)	(17701.20)	(13602.30)	(11593.30)	(9298.93)	(11498.18)	(10796.80)	(10531.30)	(10942.10)
Change in NWC	mUSD	2510.38	3876.45	5324.69	(2306.30)	872.11	766.12	1819.12	1292.62	1555.87	1424.25	1490.06
Unlevered FCF	mUSD	8168.70	13722.78	4798.42	14553.01	21680.39	20697.15	26380.30	28949.17	28221.34	28577.64	26250.87
Discounting Factor	%	1	1	1	1	1	1	0.87	0.76	0.66	0.57	0.50
												229703.69
								22950.86	21911.63	18583.84	16372.06	255954.56